

take the next step of looking at your current spending.

The Glorious 90-Day Transaction Inventory

When people are interested in changing their spending habits, they will ask where to start. We always say if you want to make changes to what you will buy, you need to figure out what you're currently buying! The first tangible step to do this is to begin with a 90-day transaction inventory. This inventory involves pulling all your transactions from the last ninety days, pasting them all into a spreadsheet, and reviewing it thoroughly (don't worry, we'll explain what to look for). Your inventory will include everything from your bills and subscriptions to your discretionary spending as well as irregular and one-time purchases. You'll gather it all digitally by downloading a .csv file from your bank or budgeting app or copying and pasting your transactions into a spreadsheet. Alternatively, if you love printing things out, then gather all your highlighters, colored pens, and sticky notes and do you!

The reason we say ninety days is because month to month, things change. Every month brings new, often unexpected, expenses. From birthday parties and weddings to unexpected or irregular bills, no month looks the same as the previous months. But while every month is different, they're not that different. So, a three-month inventory can give you a clear picture of where your money is going most frequently. Will this exercise capture everything? No. Will it be close enough? Absolutely.

Once you've got that list of transactions, you can clean it up so it's easier to navigate. All you really need is *when* the purchase was made, *where* the purchase was made, and *how much* it cost. We have a free 90-day transaction inventory spreadsheet template and video walkthrough of how to do one in the resources page for this book at frugalfriendspodcast.com/book.

Now that you have every transaction in one place, sort them by date. Arranging them this way allows you to look at your expenses in relation to time, which can reveal patterns and other clues about how you spend. Remember, you are reviewing these transactions with curiosity, not criticism. Next to each transaction, log what you remember as the purpose behind it. You can ask yourself things like: